

Organizational Culture



Agenda



- ❖ Organization culture defined
- ❖ Levels of corporate culture
- ❖ Common characteristics of culture
- ❖ Types of culture
- ❖ Creating and sustain culture
- ❖ How culture is transmitted?
- ❖ Positive culture
- ❖ Implications for managers
- ❖ Case study

Backdrop



- Culture is a nebulous concept and is often an undefined aspect of an organization. There is no generally accepted definition of culture..
- Nonetheless, organizational culture can manifest itself in a variety of ways, including *customs, traditions, rituals, behavioral norms, symbols, leadership behaviors, communication styles, internally distributed messages and corporate celebrations, and general way of doing things*. Given that culture comprises so many elements, it is not surprising that terms for describing specific cultures vary widely. Some commonly used terms for describing cultures include aggressive, customer-focused, innovative, fun, ethical, research-driven, technology-driven, process-oriented, hierarchical, family-friendly and risk-taking.

Organizational Culture: defined

- **Organizational culture** refers to a *system of shared meaning held by members* that distinguishes the organization from other organizations.
- It is defined as the underlying *beliefs, assumptions, values and ways of interacting* that contribute to the unique social and psychological environment of an organization.

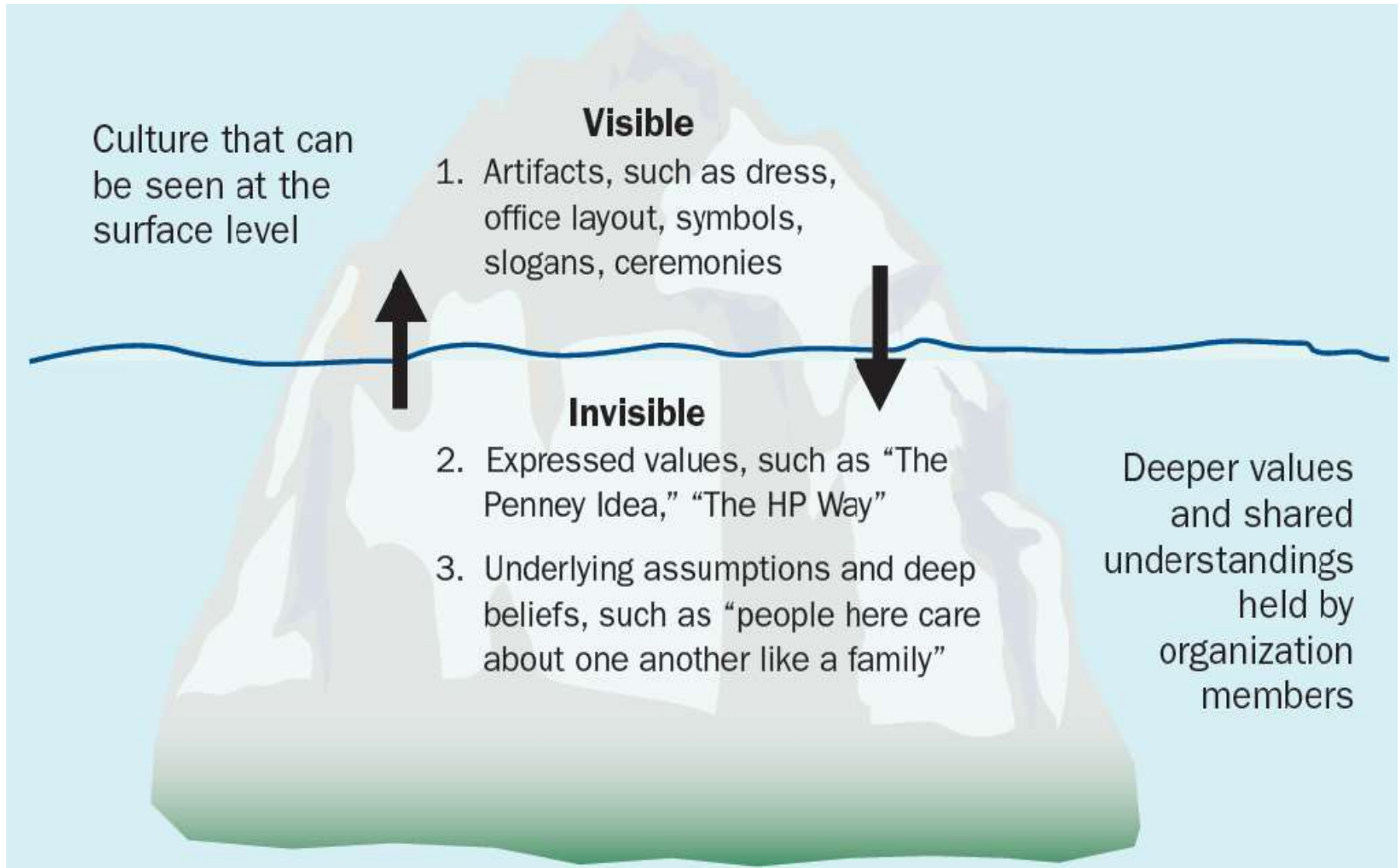
Cont'd..

- Company's ***DNA*** invisible, yet powerful template to define the '***right ways***' of doing things.
- An organization's culture defines the proper way to behave within the organization.
- Organizational culture sets the context for everything an enterprise does. Because industries and situations vary significantly, there is not a one-size-fits-all culture template that meets the needs of all organizations.

Cont'd..

- Culture also provides an informal control mechanism, a strong sense of identification with the organization and shared understanding among employees about what is important. Employees whose organizations have strongly defined cultures can also justify their behaviors at work because those behaviors fit the culture

Levels of culture



Common Characteristics of Organizational Culture

- Seven primary characteristics that capture the essence of an organization's culture:
 1. Innovation and risk taking
 2. Attention to detail
 3. Outcome orientation
 4. People orientation
 5. Team orientation
 6. Aggressiveness
 7. Stability

Dimensions of cultures

There are various dimensions of culture and each dimension exerts an influence on organization-

- High Context vs. Low Context
- Monochronic vs. Polychronic
- Future vs. Present vs. Past Orientation
- Quantity of Time
- Power Distance
- Individualism vs. Collectivism

High-context cultures are those that communicate in ways that are implicit and rely heavily on **context**. In contrast, **low-context** cultures rely on explicit verbal communication. **High-context** cultures are collectivist, value interpersonal relationships, and have members that form stable, close relationships.

Monochronic cultures like to do just one thing at a time. **Polychronic** cultures like to do multiple things at the same time (interpersonal relationships are highly valued in polychronic cultures)

Cont'd..

- Culture as a Descriptive Term
 - Organizational culture is concerned with employees' perceptions of the characteristics of the culture, not whether they like them.
 - Does it encourage teamwork?
 - Does it reward innovation?
 - Does it stifle initiative?

Cont'd..

- Do Organizations Have Uniform Cultures?
 - Most organizations have a dominant culture and numerous sets of subcultures.
 - The **dominant culture** expresses the **core values** a majority of members share and that give the organization distinct personality.
 - **Subcultures** tend to develop in large organizations to reflect common problems, situations, or experiences that members face.

Characteristics of Organizational Culture

- Strong versus Weak Cultures
 - **Strong culture** – core values are intensely held and widely shared.
- Culture versus Formalization
 - High formalization creates predictability, orderliness, and consistency.
 - Formalization and culture are two different roads to the same destination.

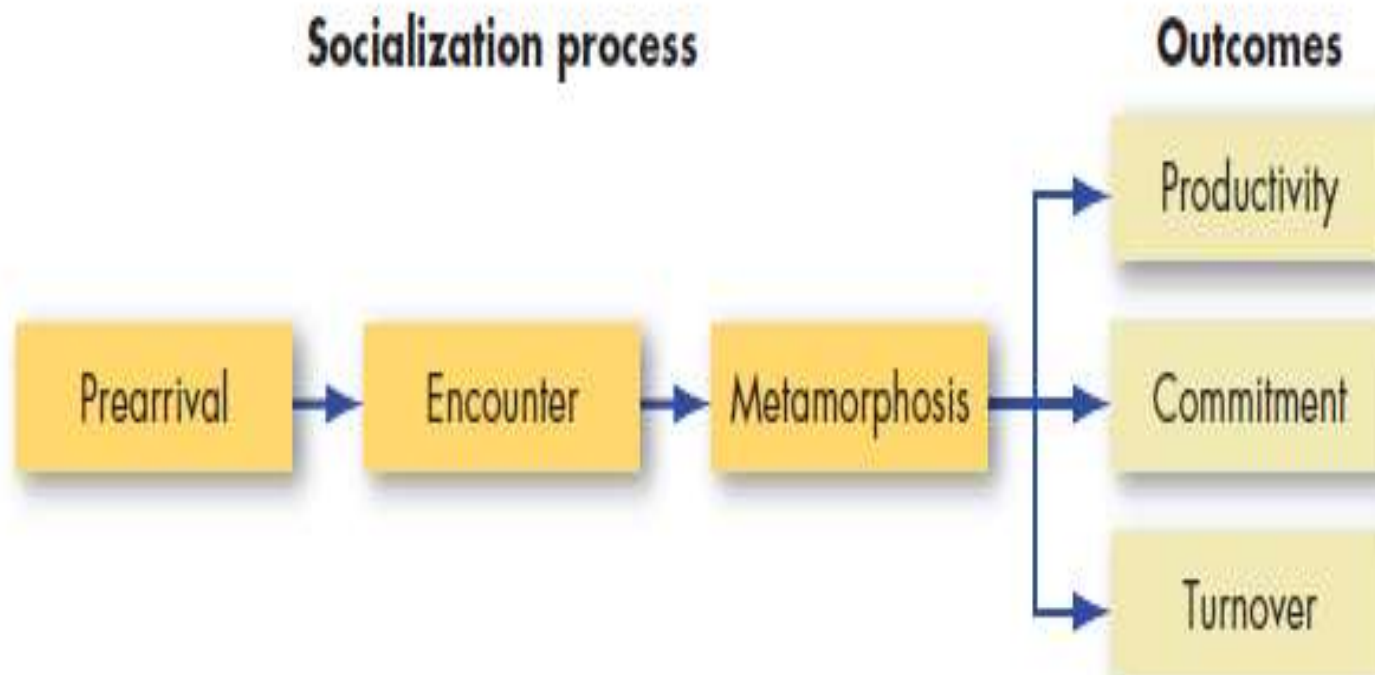
Create and Sustain an Organization's Culture

- How a Culture Begins
 - Ultimate source of an organization's culture is its ***founders***.
 - Founders have the ***vision*** of what the organization should be.
 - New organizations are typically small, which facilitates the founders' imparting of their vision on all organizational members.

Cont'd..

Exhibit 16-2

A Socialization Model



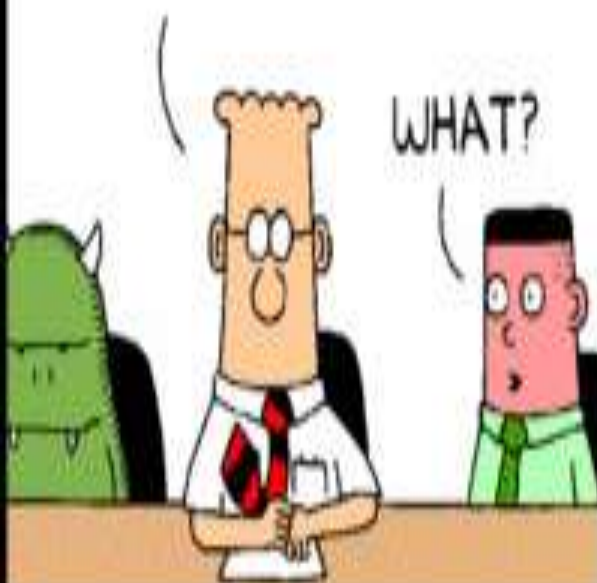
How Culture Is Transmitted to Employees

- How Employees Learn Culture
 - Culture is transmitted to employees through:

- Stories
- Rituals
- Material Symbols
- Language



OUR ASSIGNMENT
IS TO MAKE OUR
ACCOUNTING SYSTEM
LESS TRANSPARENT.



WHAT?

www.dilbert.com scottadams@aol.com

WE DON'T WANT
INVESTORS TO KNOW
WHAT WE'RE DOING.



ARE WE BAD
PEOPLE?

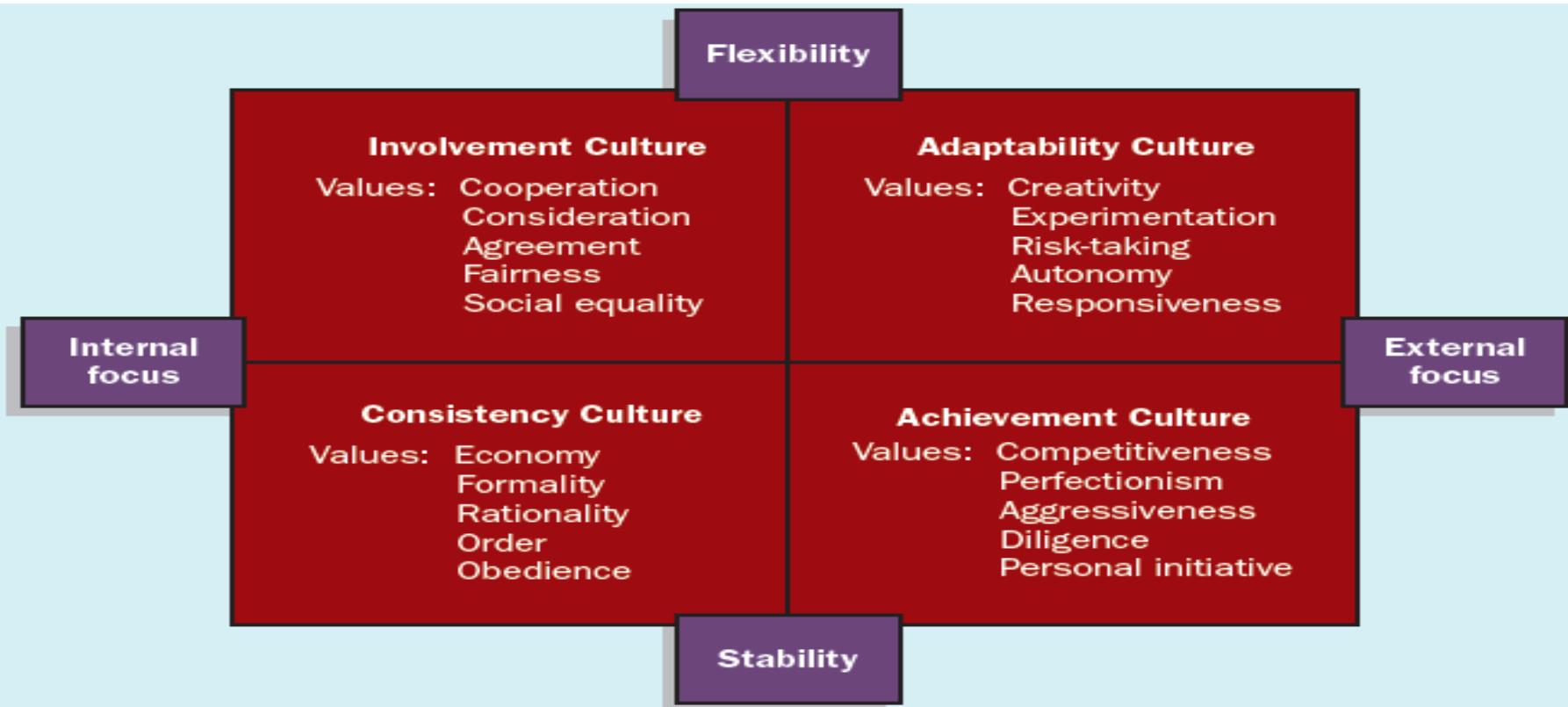
C:\a\02. © 2002 United Feature Syndicate, Inc.

WE'RE GOOD PEOPLE
WHO HAVE BEEN
INFLUENCED BY A
CORRUPT CORPORATE
CULTURE.



OH, OKAY.
CARRY ON.

Four types of culture

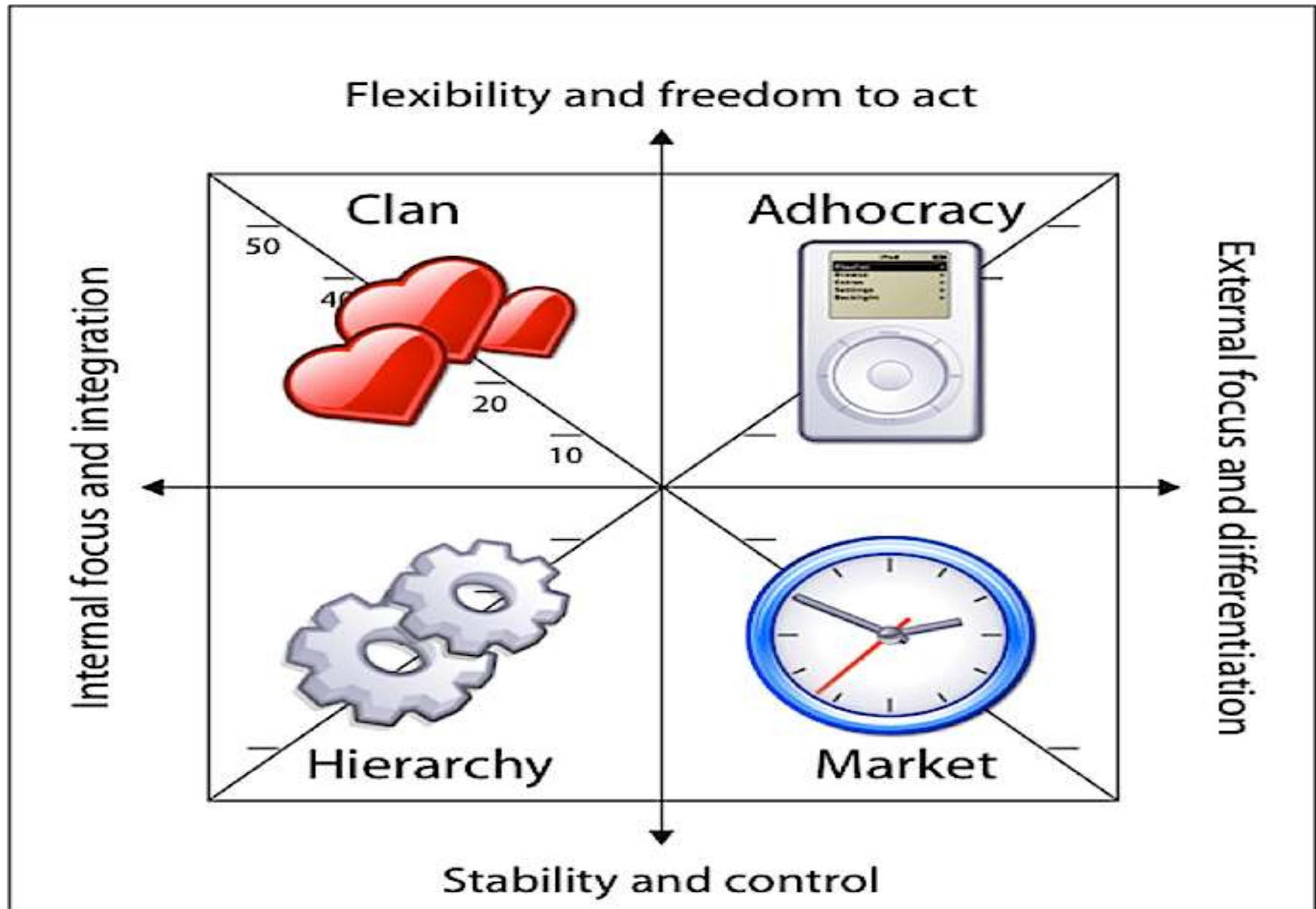


Sources: Based on Paul McDonald and Jeffrey Gandz, "Getting Value from Shared Values," *Organizational Dynamics* 21, no. 3 (Winter 1992), pp. 64–76; Deanne N. Den Hartog, Jaap J. VanMuijen, and Paul L. Koopman, "Linking Transformational Leadership and Organizational Culture," *The Journal of Leadership Studies* 3, no. 4 (1996), pp. 68–83; Daniel R. Denison and Aneil K. Mishra, "Toward a Theory of Organizational Culture and Effectiveness," *Organizational Studies* 6, no. 2 (March–April 1995), pp. 204–223; Robert Hooijberg and Frank Petrock, "On Cultural Change: Using the Competing Values Framework to Help Leaders Execute a Transformational Strategy," *Human Resource Management* 32, no. 1 (1993), pp. 29–50; and R. E. Quinn, *Beyond Rational Management: Mastering the Paradoxes and Competing Demands of High Performance* (San Francisco: Jossey-Bass, 1998).

Describe a Positive Organizational Culture

- There is a trend today for organizations to attempt to create a **positive organizational culture**:
 - Emphasizes building on employee strengths.
 - Rewards more than it punishes.
 - Emphasizes individual growth.

Types of organizational culture



Cont'd...

- **Clan** oriented cultures are family-like, with a focus on mentoring, nurturing, and “doing things together.”
- **Adhocracy** oriented cultures are dynamic and entrepreneurial, with a focus on risk-taking, innovation, and “doing things first.”
- **Market** oriented cultures are results oriented, with a focus on competition, achievement, and “getting the job done.”
- **Hierarchy** oriented cultures are structured and controlled, with a focus on efficiency, stability and “doing things right.”

National Culture May Affect Organizational Culture

- Organizational cultures often reflect national culture.
- One of the primary things U.S. managers can do is to be culturally sensitive.
- The management of ethical behavior is one area where national culture can rub up against corporate culture

Importance

- Realize that an organization's culture is relatively fixed.
- **Hire individuals** whose **values align** with those of the organization; these employees will tend to remain committed and satisfied.
- Be aware that your company's organizational culture may not be "transportable" to other countries. Understand the cultural relevance of your organization's norms before introducing new plans or initiatives overseas.

Culture at GE

Jack Welch, ex-CEO, General Electric, created a new corporate culture. Key elements of GE's corporawee culture are as under:

- Redesigning the role of the leader in the new economy: creating followers through communicating a vision, and establishing open, caring relations with every employee
- Creating an open, collaborative workplace where everyone's opinion is welcome
- Empowering senior executives to run far-flung businesses in entrepreneurial fashion
- Liberating the workforce; making everybody a participant through improving vertical communication and employee empowerment

Examples

Google

Innovation, flexible, fun, data driven

Amazon

Responsiveness, innovation

Tata

Trust, values

Quora

Learning

- <https://courses.lumenlearning.com/suny-hccc-orgbehavior/chapter/15-3-characteristics-of-organizational-culture/>

- <https://sightsinplus.com/news/industry-news/deloitte-indias-culture-sensing-report-2024-25-unveils-key-insights/>

INDIA CULTURE REPORT BY DELOITTE

Questions????????